Hana Financial Group 086790

August 13, 2026 - 3:03am EST
by jojojofofofo

			2026	2027
Price:	127,600.00	EPS	15700	17200
Shares Out. (in M):	267	P/E	8.1	7.4
Market Cap (in $M):	23,942	P/FCF	0	0
Net Debt (in $M):	0	EBIT	4,294	4,539
TEV (in $M):	23,942	TEV/EBIT	5.6	5.3

Description

Hana Financial Group (KRX: 086790) — Long

Korea's cheapest large bank, at the point where a legislated governance reform, a formula-based payout policy and a currency tailwind meet the same balance sheet.

All figures KRW unless stated. Price and market data as of the 4 August 2026 close (127,600). Profitability is quoted on FY2025 (full-year) rather than annualised first-half figures, because the fourth quarter is seasonally weak in Korea and half-year annualisation flatters every bank in the group. Financials from FY25 audited statements, 1H26 results (24 July 2026) and peer 20-F filings.

1. Snapshot

	Hana	**KB**	**Shinhan**
Price (4 Aug 2026)	127,600	168,800	103,600
52-week range	80,500–142,500	104,700–194,500	63,600–113,300
Market cap (KRW tn)	35.0	59.9	48.7
Book value per share (filed)	~172,000	~167,000	~127,900
Price / book	0.74x	1.01x	0.81x
ROE (FY2025)	9.11%	9.34%	~9.5%
CET1 (Jun-26)	13.21%	13.6%+	13.43%
Dividend yield (2026E)	3.6%	2.7%	3.2%
Buyback yield (2026E)	~2.9%	~2.4%	~2.9%
Total shareholder yield	~6.5%	~5.1%	~6.1%

2. The idea

Hana Financial Group is Korea's third-largest banking group. It trades at 0.74x its June 2026 book and roughly 9x earnings, earned a 9.1% ROE in 2025 with a first half running well ahead of that, and returns about 6.5% of its market capitalisation to shareholders each year — a 3.6% dividend plus ~2.9% of shares bought back and cancelled.

Its closest comparable, KB Financial, carried the same discount two years ago and now trades at ~1.0x book. Very little about KB's underlying business changed in the interval. What changed was that Korea's "Corporate Value-Up" reform matured from a voluntary programme into statute, and KB was first to translate that into a published, mechanical payout rule. Following March 2024, the whole sector re-rated in tandem as each gave more transparency over an increasing capital return program, with KB outperforming the sector through the fastest pivot to accelerating capital return.

Hana lagged for three reasons that were legitimate rather than imagined: (i) a thinner buffer over its own capital floor, (ii) the most currency-sensitive balance sheet among the big banks, and (iii) vague shareholder-return disclosure that offered intentions rather than an explicit formula. All three have changed materially in the last four months — the last of them on 24 July, when management published a payout formula, moved its capital floor down, and declared an ambition to become Korea's leading dividend stock.

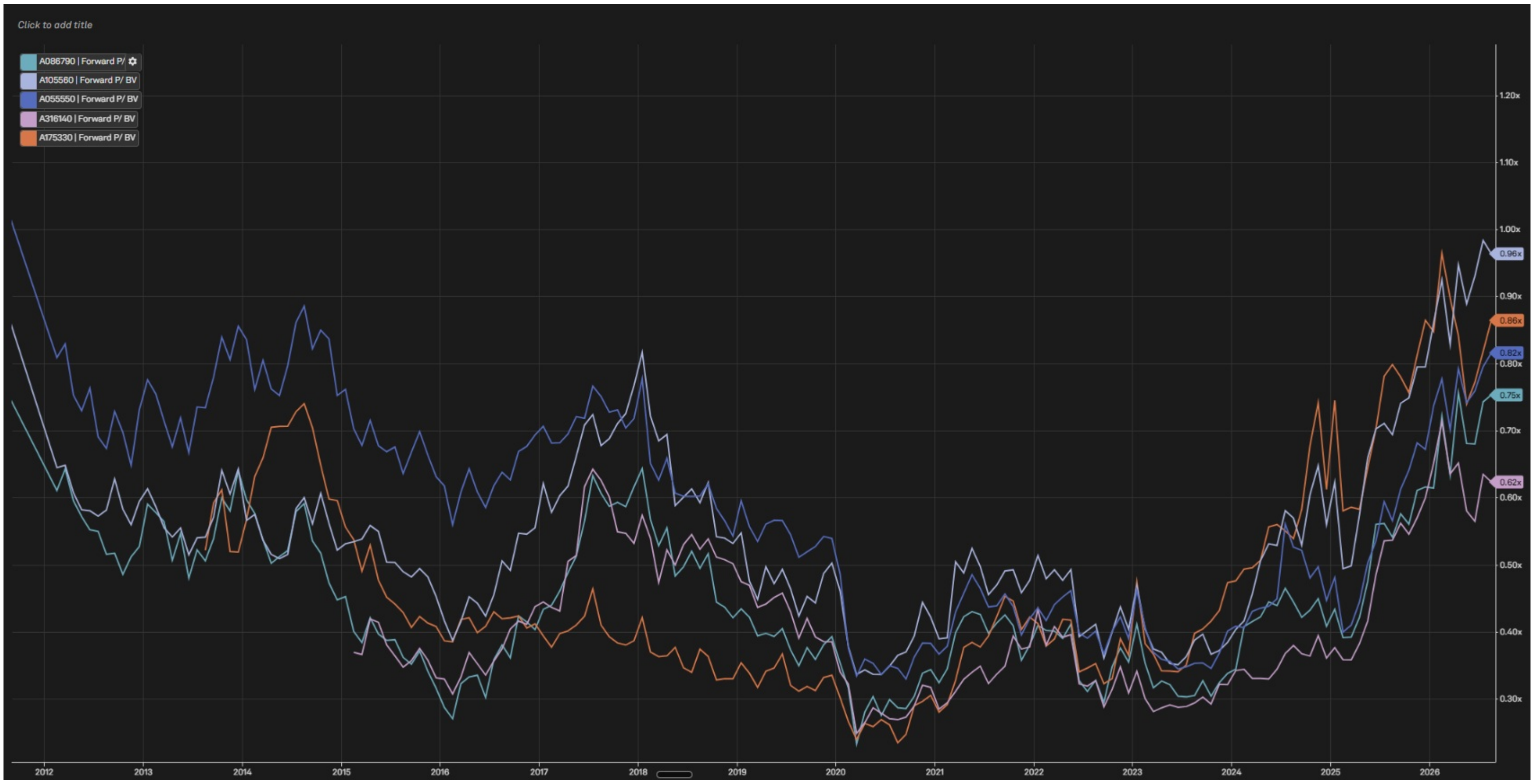
At the same time the variable that made Hana the risky value-up bank has inverted. The won has appreciated 7.7% in five weeks. Because roughly 28% of Hana's risk-weighted assets are foreign-currency denominated, that move mechanically rebuilds 20–35bp of the capital ratio that funds the buyback - a larger effect than at any peer, landing precisely on the constraint that was holding the payout back. My micro (low confidence) macro view is that the won stays strong on BoK rate hike cycle, repatriation of semiconductor export earnings and domestic inflation (aside from some easing on energy prices coming down recently), which flips into a tailwind for Hana's balance sheet.

Hana trades at 0.74x book, with comparable bank economics and asset quality than its larger peer, paying 6.5% a year, inside a reform cycle that is now law rather than policy. Hold the multiple flat and book compounding plus the yield produce ~14–15% a year. A re-rating to 0.85x book gets you ~18% annualised over two years; following KB to par gets you 25–30%.

3. Why Korean banks were cheap, and what changed

Korean bank holding companies spent most of their listed lives as value traps between 0.3x and 0.6x book at 3–5x earnings. Payout ratios sat below 20%: capital went into rebuilding regulatory ratios. Hana's CET1 was 9.8% in 2015 against 13.4% at the end of 2025 — or into balance-sheet growth at mediocre incremental returns. Dividends were taxed at aggregated rates approaching 50% for large domestic holders, so the marginal local buyer had little reason to value the payout.

Layered on top was the general Korea discount: controlling-family conglomerates with cross-shareholdings, weak minority protections, and a 60% inheritance tax that gives founding families an active incentive to keep valuations low. Two-thirds of KOSPI companies traded below book. From 2014 to 2023 the KOSPI rose ~30% against ~160% for the S&P 500 and ~107% for the Nikkei.



Light blue is Hana Financial Group (A086790). Sector traded <1x fwd P/B for the last decade. Re-rating started in 2024 as banks accelerate returning of capital to shareholders. KB leads the sector.

The banks were always the exception to the governance half of that story, and that exception is the trade. The 1997 IMF bailout forced ownership open. Foreigners hold roughly 70% of the big four — KB, Shinhan, Hana and Woori, together 60–70% of banking assets — chaebols are barred by law from controlling banks, the National Pension Service owns 8–12% of each, and professional managers run them under pay that is 65–88% variable and tied to ROE, share price and payout execution. These were close to the only large Korean companies whose owners and managers all wanted the share price higher. When policy arrived, they were positioned to act on it.

The Corporate Value-Up Program launched in February 2024, modelled on the Tokyo Stock Exchange reforms that re-rated Japan. It was voluntary, and most of corporate Korea ignored it — the chaebol holdco discount has barely moved. The banks did not ignore it. Since then, the programme has stopped being voluntary at all:

Date	Measure	Effect
Feb 2024	Value-Up Program launched	Voluntary framework; banks adopt 45–55% payout glide-paths, most of the market does not
Jan 2026	Separate taxation of dividend income	Dividends from 40%+ payers taxed at 14–30% rather than up to ~50%
25 Feb 2026	Third Commercial Act amendment passes	Treasury-share cancellation becomes mandatory; boards owe a statutory duty to shareholders
16 Apr 2026	Capital regulation rationalisation (FSC/FSS)	Structural FX scope widened and operational-risk relief; up to ~26bp CET1 across the five majors (Hana +12bp, applied retroactively)
10 Sep 2026	Commercial Act provisions effective	New treasury shares cancelled within 1 year; existing holdings within 18 months

Date	Measure	Effect
Nov 2026	KRX low-PBR disclosure begins	Bottom-quartile KOSPI names published twice a year and tagged on brokerage screens — Japan-style naming and shaming

Two things follow. (i) The regulator is not merely permitting higher payouts; it is manufacturing the capacity for them — the April package alone was estimated to free KRW 74.5tn of banking-sector funding capacity. (ii) And the ceiling broke: the standing bear argument was that Korean banks had never traded at book and never would, and KB traded through 1.0x this summer. The endpoint is no longer hypothetical.

4. Hana: the business, the discount, and what has changed

Hana Financial Group has a market capitalisation of ~KRW 35tn (US$25bn) and total assets of ~KRW 700tn. It is built around Hana Bank, which absorbed Korea Exchange Bank in 2015 and with it, Korea's leading trade-finance and foreign-exchange franchise - Hana is the bank Korean corporates use to move money across borders, with about 16% of assets denominated in foreign currency against ~11% at KB, and operations in Vietnam and Indonesia. Non-bank subsidiaries (securities, cards, capital) contribute a modest share of profit, and unlike KB and Shinhan there is no large insurance arm. Ownership is institutional and dispersed: foreigners ~70%, National Pension Service ~8.9%, Capital Group ~6.9%, BlackRock ~6.4%. There is no controlling shareholder.

Set side by side with KB on FY25 numbers, the operating businesses are closer than the 0.27x valuation gap suggests — and where they differ, Hana is not obviously the weaker bank:

FY2025	KB	Hana	Comment
Net interest margin	1.62%	1.52%	KB's retail deposit franchise
Cost of funds	2.88%	2.98%	Hana funds 10bp more expensively
Credit cost	0.38%	0.32%	Hana lower
Risk-adjusted NII	1.24%	1.20%	Near parity after credit
NPL ratio	0.72%	0.43%	Hana materially better
NPL coverage	138.5%	195.0%	Hana materially better
ROA	0.69%	0.70%	Parity
Risk density	1.35	1.42	Hana carries more RWA per unit of assets
Return on RWA	1.46%	1.39%	The gap is density, not profitability
ROE	9.34%	9.11%	Near parity
CET1 (2015 → 2025)	13.50% → 13.74%	9.80% → 13.39%	Hana rebuilt 360bp in a decade

The most useful line is risk density. Hana earns the same return on assets as KB but a lower return on risk-weighted assets, because more of its balance sheet attracts high risk weights — foreign-currency corporate and trade exposures rather than domestic mortgages. That single structural fact explains the capital constraint, the currency sensitivity and part of the valuation discount. It is also the fact that a stronger won directly relieves.

4.1 Capital — the constraint, and where it stands now

Hana manages CET1 to a self-imposed band and has run near the bottom of it, while KB runs above 13.5% with an explicit rule returning everything above that threshold. At the 13.21% reported for June 2026, Hana's surplus over its own floor was roughly KRW 0.6tn — thin against an annual payout programme approaching KRW 2.5tn. The payout was therefore funded by future capital generation rather than capital in hand, and the market discounted it accordingly.

It is also the thing that is changing fastest. Capital generation is running at roughly 70bp a year gross before RWA growth, the April regulatory reform added 12bp retroactively, and the currency has added more (below). My estimate is that the ratio sits at ~13.4–13.5% today about 40-50bps in excess of its 13% floor target.

4.2 Currency — the macro that used to be the risk

Because of the trade-finance heritage, a weaker won inflates Hana's risk-weighted assets in won terms and compresses the capital ratio, at roughly 2–3bp per 10 won on the company's own disclosure. Through 2025 and early 2026 the won ground to its weakest annual average on record, and investors were being asked to capitalise a payout that a currency move could cut.

The macro backdrop has changed on two fronts. The Bank of Korea raised rates 25bp to 2.75% on 16 July — its first hike in three and a half years — because the semiconductor export boom (June exports +71% year on year) is feeding wages, household spending and inflation, with core CPI at 2.6% and rising even as headline cooled to 2.8% in July. And the won moved from ~1,542 per dollar at end-June to ~1,423 on 4 August, a 7.7% appreciation and the strongest monthly rally since 2009. Factors include: SK Hynix's Nasdaq ADR proceeds converting home, exporters selling down dollars hoarded above 1,500 out of a record trade surplus, the narrowing rate gap, and yen strength.

Rising rates widen margins across the sector, though they favour KB more than Hana: KB's mass-retail heritage gives it a large pool of non-repricing deposits

(~42% of deposits non-interest-bearing against ~14–15% at Hana on a like-for-like basis), which is visible in the 10bp cost-of-funds gap above. The rate cycle is a sector kicker for Hana rather than the case for owning it.

The currency is the Hana-specific part. Working through the balance sheet:

CET1 bridge, 30 June → early August 2026	**Effect**
Starting point (1H26 reported)	13.21%
Currency effect on RWA: ~28% of RWA is FX-denominated, and a 7.7% appreciation deflates it by ~KRW 6.6tn	+28bp
Currency effect on capital: unhedged overseas net investment (~KRW 3.6tn) translates down through reserves	−9bp
Net currency effect	≈ +19bp
Cross-check using the company's 2–3bp per 10 won × 11.9 units	+24 to +36bp
July retained earnings, less dividend accrual and the buyback in progress	≈ +5 to +8bp
Estimated CET1 today	~13.4–13.5%

Two consequences. At ~13.4–13.5% Hana sits at the top of its band, which under the new payout rule is the configuration that produces a large fourth-quarter buyback. And there is an earnings kicker: the first half absorbed ~KRW 110bn of currency translation losses, which a stable won turns into a gain of similar size in the third quarter. I would strip that from underlying earnings in both directions.

The mechanism is symmetric, and that is the main risk in the idea: a round-trip above ~1,550 removes the tailwind as quickly as it arrived. Worth noting that the won's strength is partly a semiconductor-flow phenomenon — a US-centric AI unwind that repatriates capital to Korea would be fine for this trade, while a disorderly global risk-off that hits the won and Korean credit together is the scenario where several legs fail at once.

4.3 Disclosure — the self-inflicted piece, fixed on 24 July

Alongside a record first half (net profit KRW 2.40tn, +4.4% year on year, core earnings +13%), management published "Value-up Plan 2.0". Three targets and, importantly, one formula:

Pillar	**Target**	**Mechanism**
ROE	12%, via 10% first	Bank competitiveness, non-bank profitability, RoRWA-based capital allocation
Shareholder return	50% or higher, phased	Payout ratio = 1 − (RWA growth ÷ ROE)
CET1	13% or higher	Group-wide RWA discipline; growth in line with nominal GDP

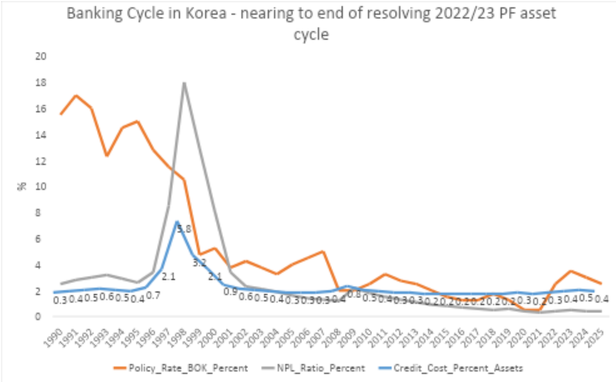
The formula converts a promise into an equation shareholders can audit each quarter. At a 10% ROE and 4–5% RWA growth it produces a 50–60% payout mechanically, and it hard-wires discipline in a way a glide-path does not, because every point of balance-sheet growth now visibly comes out of the payout. This is the same structural move that re-rated KB.

The change in capital language is arguably the bigger tell, and it has happened in three steps. The original target was a fixed 13.5%. That became a 13.0–13.5% range during 2025. Value-up 2.0 now frames the objective as 13% or higher, with the range described as a management band rather than a floor to be defended. In substance the binding constraint has moved down roughly 50bp over two years — on a ~KRW 308tn RWA base, 50bp of CET1 is on the order of KRW 1.5tn of capital (4.2% market cap) that is now available for distribution rather than held in reserve. Management has moved from treating the capital ratio as something to protect to treating it as something to spend down toward a floor.

The accompanying declaration — the intention to become "Korea's leading dividend stock" — is aimed squarely at the January 2026 tax reform, which rewards exactly the 40%+ payout profile Hana is moving toward. The quarterly dividend was raised 26.5% to KRW 1,155 and KRW 700bn of buybacks (~3% of shares outstanding) are done or approved for the year, including a 250bn tranche for the third quarter. The remaining irritant is that buybacks are still approved quarterly rather than as an annual programme.

5. Asset quality

Korean bank credit quality is best judged over a full cycle, and the cycle chart is the reassuring part of this idea. The 2022–23 real-estate project-finance episode — the scare that kept many investors away from Korean banks — barely registers against history:



Year	Policy rate	System NPL ratio	Credit cost (% assets)
1998 (AFC)	~10.5%	18.0%	5.8%
2001	~4.0%	3.4%	0.9%
2009 (GFC)	~2.0%	~2.2%	0.8%
2019	~1.5%	~0.6%	0.2%
2021 (trough)	~0.5%	~0.5%	0.2%
2023 (PF cycle)	3.5%	~0.5%	0.4%
2024 (peak of cycle)	~3.0%	~0.6%	0.5%
2025	~2.5%	~0.5%	0.4%

The entire project-finance cycle produced a credit-cost peak of ~0.5% of assets — below the global financial crisis, and roughly a tenth of 1998. The listed banks were not the casualties; securities firms and savings banks acting as shadow lenders to developers were. Credit costs have already begun to decline from the 2024 peak, which is what "nearing the end of resolving the cycle" looks like in the data.

Hana's own first-half numbers are consistent: credit cost 0.29%, inside management guidance, with the best NPL ratio and coverage among the large banks (0.43% and 195% at end-2025 against 0.72% and 138.5% at KB). The second-quarter headline nonetheless looked poor, for a specific and explainable reason:

	1Q26	2Q26	Comment
NPL ratio	0.80%	0.93%	+13bp, driven by one filing
NPL coverage	95.7%	86.4%	Ratio effect of the same event
Delinquency ratio	0.61%	0.59%	Improved
New NPL formation	907bn	1,210bn	~800bn excluding the filing — flat
Provisions	232bn	431bn	Includes 74.9bn in a lumpy project (JoongAng Ilbo), undergoing liquidation
Credit cost ratio	0.21%	~0.37%	1H 0.29%, within guidance ex one-off

The cause was a single event. JoongAng Group — the media conglomerate behind broadcaster JTBC, Contentree and the Megabox cinema chain — filed for court rehabilitation in June after an advertising slump and a failed bet on Winter Olympics viewership. Korean rehabilitation filings, the Chapter 11 analogue, force immediate reclassification of all exposure to non-performing regardless of payment status. That moved ~KRW 0.4tn into the NPL bucket in one step, provisioned at ~75bn because roughly 90% of the delinquent book is secured. Excluding the filing, new NPL formation was flat.

The forward watch item is household and SME credit as the hiking cycle bites into 2027; the central bank cited household leverage as a reason to hike, which is an uncomfortable thing for a lender to hear. Coverage below 100% deserves monitoring. Neither is thesis-level today.

6. Why Hana rather than the peers

The fair challenge is not "why Korean banks" but "why the laggard rather than the proven executor."

	Hana	KB	Shinhan	JB Financial
Price / book	0.74x	1.01x	0.81x	~1.0x
ROE (FY25)	9.11%	9.34%	~9.5%	~13%
CET1	13.21%	13.6%+	13.43%	>13%

	Hana	KB	Shinhan	JB Financial
2026 buybacks announced	700bn	~1.45tn	1.4tn	accelerating
Payout framework	Formula (Jul-26)	Threshold rule	Formula + share-count target	1.0x P/B target
Impact of a stronger won	Clearly positive	Small	Broadly neutral	Minimal
Re-rating delivered so far	Partial	Complete	Substantial	Substantial

KB is the quality franchise and the sector benchmark, but at ~1.0x book the re-rating has ran; what remains is a ~5% total yield and modest drift. Shinhan is the strongest executor — KRW 1.4tn of buybacks year-to-date, ahead of its own annual plan, and the only Korean bank with an absolute share-count commitment (450mn shares by 2030). It is a legitimate alternative, and the better choice for an investor who wants lower variance. Two things temper it: a meaningful slice of its record first half came from the card and securities arms riding a retail trading boom, which is not earnings quality to capitalise at par; and its FY25 disclosures show a net long foreign-currency position of ~KRW 10.7tn, roughly 18% of common equity, so won appreciation costs it book value even as it helps the ratio. The currency move that is a clean tailwind for Hana is close to a wash for Shinhan. JB is the most profitable of the group with an activist (Align Partners) pushing for higher payouts. But is already at ~1.0x book, so the value-up arithmetic is largely in the price.

Hana is where the gap between delivery and price is widest: roughly 9% cheaper than Shinhan on filed book and 27% cheaper than KB, with better asset quality than either, the newest catalyst calendar, and the only balance sheet where the current macro directly relieves the binding constraint.

7. Valuation

At 127,600 against a June 2026 book of ~172,000, Hana trades at 0.74x. Book compounds from two sources: roughly 45% of earnings retained, and the accretion of buying back stock at 0.74x book, since every won repurchased below book adds to book per share. On FY26E earnings of ~KRW 4.7tn and FY27E ~4.9tn at a 55% payout, book per share reaches roughly KRW 197,000 by end-2027, an ~8% annual rate.

Using 10.5% cost of equity and 3% growth, justified P/B sensitivity:

Sustainable ROE	Justified P/B	Comment
9.1% (FY25 actual)	0.81x	Above today's 0.74x
9.5%	0.87x	Modest improvement on 2025
10.0%	0.93x	Management's first ROE milestone
10.5%	1.00x	Where KB trades today
11.0%	1.07x	Value-up 2.0 trajectory toward 12%

Today's 0.74x therefore prices something below what the bank already earned in a year when it was still rebuilding capital and absorbing currency pressure — a bank whose returns deteriorate from here and whose published payout is not delivered. Return sensitivity over two years from the 4 August price:

Case	End-27 book	Multiple	Price	Total return*	IRR
Bear — won reverses above 1,550 or credit turns; payout stalls and the stock de-rates	182,000	0.60x	109,200	−7%	−3.5%/yr
Base — formula delivered, ROE toward 10%, partial re-rating	197,000	0.85x	167,450	+39%	+17.8%/yr
Bull — Hana follows KB to par	197,000	1.00x	197,000	+62%	+27.3%/yr
Upside — sector re-rates through par as reform continues	200,000	1.10x	220,000	+80%	+34.2%/yr

What I take from the spread: you are risking roughly 7% including dividends against 39–62% in the two cases that require nothing more than continued execution of a published policy. The bear case requires the government to abandon a reform it has just written into law, or a credit event with no current evidence behind it.

Even the null outcome is tolerable. Hold the multiple flat at 0.74x indefinitely and book compounding plus the 6.5% yield still produce ~14–15% a year – that is against the main risks of a depreciating won. The buyback alone retires ~3% of shares annually at a 26% discount to book, worth roughly 1% a year of book accretion to continuing holders. That engine runs whether or not the multiple ever moves.

8. Risks, and what to watch

- The won round-trips above 1,550. The fastest-moving variable, and part of the July rally was one-off flow. The capital tailwind reverses at the same 2–3bp per 10 won.

- The October buyback tranche disappoints. Hana still approves buybacks quarterly. A tranche materially below ~250bn would suggest the formula is aspirational, and this sector punishes below-consensus return announcements quickly.
- Credit turns. The BOK is hiking into leveraged households and a construction sector still working through the project-finance cycle. Two consecutive quarters of credit cost above ~45bp would change the earnings base; coverage at 86% leaves less cushion than the sector is used to.
- Policy creep. A buyback tax has been discussed and never tabled — unlikely in my view, since buybacks are concentrated in exactly the companies the government wants rewarded and ~30% of the electorate now owns equities — but this administration has already added a 0.5% education surtax on financial-sector profits.
- Crowding. There are no sell ratings on the stock, and Korean banks were the defensive hiding place during July's semiconductor selloff. A chip recovery rotates some of that flow back out; a drawdown risk rather than a thesis risk.
- Capital discipline. In June, Hana bought 6.55% of Dunamu, operator of the Upbit crypto exchange, for ~KRW 1tn — 11bp of CET1 from the same pool that funds the payout. Management frames it as positioning for digital assets and stablecoins. A second deal of that size before the payout programme is delivered would tell you the priority ordering is not what the formula implies.

Appendix — how the currency actually moves the capital ratio

This is the least familiar part of the idea for non-Korean investors, so it is worth being precise. A weaker won reaches Hana through four channels, which do not point the same way:

Channel	Size	Where it lands	Effect of a weaker won
FC loans, deposits and funding	Assets 107.6tn vs liabilities 107.9tn	Balance sheet	Matched — both inflate in won terms, no gain or loss
Residual USD mismatch	Small after hedging	Earnings	Translation losses (−82bn in 1Q, −28bn in 2Q)
Unhedged overseas investments	~3.6tn (my estimate)	Equity reserves → capital	Capital rises — the natural hedge
FX-denominated RWA	~85tn (~28% of RWA)	Capital ratio denominator	RWA inflates — the dominant effect

The denominator channel is roughly fifteen times larger than the capital offset, which is why a weaker won is always negative for the ratio even though individual lines show gains. About 35–40% of the structural overseas investment is formally hedged (KRW 2.14tn of foreign-currency liabilities designated as hedges of net investments); the majority is deliberately left open, because an unhedged overseas stake is itself the natural hedge for the capital ratio.

The April 2026 reform widened the definition of an eligible structural FX position to include long-term overseas equity investments and retained earnings of foreign branches, which is why Hana restated its first-quarter CET1 upward by 12bp. The practical implication is that Hana's sensitivity to the won is now structurally lower than the 2–3bp per 10 won disclosed in May: the downside case is milder than the historical relationship implies, while the upside currently accruing is real and already in the ratio.

One further note on interest-rate risk, since it is often quoted in unfamiliar units. Regulators require banks to disclose what a standard rate shock would do to the economic value of the balance sheet — in plain terms, how much of a rate move eventually shows up in equity. Expressed as a share of common equity, that figure is ~1.1% for Hana, ~1.7% for KB and ~2.3% for Shinhan Bank. Hana carries the least of this exposure of the three, having reduced it by roughly three-quarters during 2025. The trade-off is that more of Hana's funding reprices quickly, so its next-twelve-month interest income is the most rate-sensitive of the group. Neither figure is large enough to drive the investment case; both are worth knowing before assuming rate moves affect these banks identically.

Disclosure: long Hana Financial Group. Not investment advice; all estimates are my own and may be wrong.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Timing	Event	What it tests
Late Oct 2026	3Q results	The 4Q buyback tranche under the formula, and the first printed CET1 including the currency tailwind
Nov 2026	KRX low-PBR disclosure begins	Sector-wide pressure; Hana at 0.74x is not in the bottom quartile, but the regime raises the cost of inaction market-wide
Ongoing	BOK meetings, monthly CPI, the won	Further hikes widen sector margins; the currency drives the capital ratio
Jan 2027	FY26 results and FY27 return plan	The first full annual cycle set under the formula

Timing	Event	What it tests
From 10 Sep 2026	Commercial Act provisions effective	Mandatory cancellation begins; an 18-month clock on existing treasury holdings sector-wide

Sometimes the catalyst is simply management executing a published formula, quarter after quarter, until the discount closes. That is what happened at KB, and the market paid roughly 0.3x of book for it.

Messages

Subject	Application Advice
Entry	08/13/2026 08:04 AM
Member	Light62

I don't dislike the idea. In fact, I own it (though I'm closer to a seller than a buyer), but this was clearly written by AI. It's not clear to me if you outsourced the entire research process or just the drafting. I lean more towards the former as the math around "book compounding plus the yield" is wrong which is a common mistake AI makes when evaluating banks (a 9.1% RoE at .74x book gets you a 12.3% return at a 100% payout - lower at lower payouts) and all of the arguments are AI styled. If this was the result of your own genuine research efforts I'd suggest re-applying with an idea drafted by you. If you want to use AI to tighten up the writing in your own draft that's one thing (I'm ok with it, though others may not be) but I very much doubt that outsourcing the thinking, the structure, and the writing to AI is going to get you the result you want.

Subject	re: Application Advice
Entry	08/13/2026 12:57 PM
Member	jojojofofofo

Thanks Light62 for the kind suggestion.

Yes this was rewritten by AI and lightly edited by me so I can see why this might be stylistically distasteful to the membership. I have been bullish on the Korean banks (fellow JB bull too) since last year and wanted to contribute to VIC this time round as there is a slight shift in Hana's fundamentals that made it attractive and timely. KB and Hana have traded in lockstep so one may even argue that there is very little merit in an attempt in stockpicking. I thought the Korean bank laggards are attractive, and the additional disclosures in July-26 shifted the odds in Hana's favor with a chance to narrow the discount with KB.

Shareholder return consists of (a) BPS growth (b) dividend yield (c) re-rating. Book compounding plus the yield is another way to express the idea that return is a weighted average of reinvesting returns at ROE and returning cash to shareholders (share buyback / dividend yield). I agree with you by the way and AI is a little unclear in the expression. Starts to be value neutral at 0.92x P/B.